

25STCV00123 25STCV00123

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Case Number: 25STCV00123 Hearing Date: July 16, 2026 Dept: 510

No.

8 - Jessica Castillo v. Arcadian Property Group LLC

Defendant Arcadian Property Group LLC's

Motion to Set Aside Default Judgment

Defendant

Arcadian Property Group LLC moves to set aside the default judgment entered against it on February 19, 2026. Defendant moves for relief under Code of Civil Procedure sections 473.5 and 473(d).

CCP

§ 473.5

Defendant

is entitled to relief under Code of Civil Procedure section 473.5. "When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action," the defendant may move to set aside the default or default judgment. (CCP § 473.5(a).) "Upon a finding by the court that the motion was [timely] and that [defendant's] lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect, it may set aside the default or default judgment." (CCP § 473.5(c).) "The moving party has the burden of showing good cause for relief from a default or a default judgment." (Tunis v. Barrow (1986) 184 Cal.App.3d 1069, 1080.)

Here,

Defendant shows it lacked actual notice of this lawsuit. It is undisputed that Plaintiff personally served the summons and complaint on “United States Corp,” which was the registered agent for service of process listed for Defendant on the Delaware Secretary of State website at the time of service. (Cotton Decl., ¶¶ 11, 15.) However, its actual Delaware registered agent at the time was “A Registered Agent, Inc.” Michael Cotton, part-owner of Defendant, attests: “I do not know whether ‘United States Corp.’ accepted service of Plaintiff’s Complaint and First Amended Complaint or why they would have done so. I, nor anyone at Arcadian, never received any documents or communication from ‘United State [sic] Corp.’ informing us of this lawsuit.” (Id., ¶ 14.) He further declares that Plaintiff’s service of its Application and Order for Examination on April 15, 2026, was “the first time that [he], or anyone else at Arcadian, became aware of any lawsuit against Arcadian by Plaintiff.” (Id., ¶ 4.) Therefore, Defendant did not have actual notice of the lawsuit. Plaintiff presented no contrary evidence.

Further, Defendant shows that its lack of actual notice was not a result of inexcusable neglect. While Cotton admits that he failed to timely update the proper California registered agent after moving physical locations in September 2025, he declares that this was “an oversight that Arcadian is presently working to rectify.” (Cotton Decl., ¶ 8.) Cotton also states that Defendant changed its Delaware registered agent in 2022, but the Delaware Secretary of State website still listed its former registered agent. (Id., ¶ 15.) Defendant declared that it has since rectified the issue. (Ibid.) This is not inexcusable neglect. “Unless inexcusable neglect is clear, the policy favoring trial on the merits prevails. Doubts are resolved in favor of the application for relief from default.” (Elston v. City of Turlock (1985) 38 Cal.3d 227, 235, overruled by statute on other grounds as stated in Wilcox v. Birtwhistle (1999) 21 Cal.4th 973.)

Plaintiff attempts to rely on Pulte Homes Corp. v. Williams Mechanical, Inc. (2016) 2 Cal.App.5th 267 for the proposition that a corporation’s failure to designate its correct registered agent is inexcusable neglect under CCP § 473.5. The Court finds that Pulte is inapposite here. The Pulte court’s analysis applied to service upon a designated agent for service of process of a dissolved corporation, where there was no other officer to whom notice could have been provided. (Pulte, supra, 2 Cal.App.5th at p. 274.) There is no defunct corporate defendant involved in this action.

Because

the Court finds that Defendant is entitled to relief under CCP § 473.5, it need not and does not address whether Defendant is also entitled to relief under CCP § 473(d).

Disposition

Defendant

Arcadian Property Group LLC's motion to set aside default judgment is granted.

The Court hereby vacates the judgment entered on February 19, 2026. Defendant shall file its proposed answer forthwith.